MODULE 04

Claims & Disputes

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INTRODUCTION TO CLAIMS

- Throughout a project's lifecycle, conflicts often emerge that the project team cannot settle internally.
- These disputes usually involve the contractor seeking an extension of the project timeline, additional financial compensation, or sometimes both.
- Such demands made by the contractor are known as "claims."
- When the project owner agrees to the contractor's claim—whether granting more time, extra payment, or both—the matter is resolved.
- When the owner disputes a contractor's claim due to differing interpretations, the matter escalates into a formal disagreement.

INTRODUCTION TO CLAIMS

- In today's projects, especially those involving cutting-edge technologies, detailed specifications, and elevated owner expectations, claims have become an unavoidable challenge.
- Additionally, owners themselves can initiate claims under certain circumstances.
- It is crucial that every stakeholder thoroughly understands the processes and systems involved.
- This includes being prepared to implement specific preventive measures whenever deemed necessary or required.

SOURCES OF CLAIMS

1. Contract-Related Sources

- Ambiguous or incomplete contract documents
- Errors, contradictions, or omissions in drawings and specifications
- Misinterpretation of contract clauses
- Improper risk allocation

2. Client/Owner-Related Sources

- Late release of site or drawings
- Delayed payments or underpayment
- Frequent scope changes / variations in work
- Late approvals of materials, designs, or shop drawings

SOURCES OF CLAIMS

3. Contractor-Related Sources

- Delay in mobilization of resources
- Poor planning, scheduling, or productivity issues
- Faulty workmanship leading to rework
- Non-compliance with specifications

4. Consultant/Engineer-Related Sources

- Delay in issuing instructions or clarifications
- Design errors or late design changes
- Improper supervision or inspection
- Conflicting site instructions

SOURCES OF CLAIMS

5. External Sources

- Unforeseen ground conditions (e.g., rock, water table, soil type)
- Force majeure events (flood, earthquake, pandemic, war, etc.)
- Change in government regulations, taxes, or laws
- Shortage of materials, fuel, or labor strikes

6. Time-Related Sources

- Delays in approvals, permits, or clearances
- Extensions of project deadlines without proper compensation
- Acceleration of works without proper cost recovery

CLAIM MANAGEMENT

- The party initiating the claim must promptly inform the other party once the claim is recognized.
- It is the claimant's duty to provide solid evidence supporting their claim.
- Based on the response from the opposing party, the claim can either be resolved through mutual agreement or escalate into a formal dispute.

CLAIM NOTIFICATION

A **Claim Notification** in construction is the formal written notice given by a contractor (or sometimes the client) to inform the other party about an event, circumstance, or change that may lead to a **claim for extra time, cost, or both**.

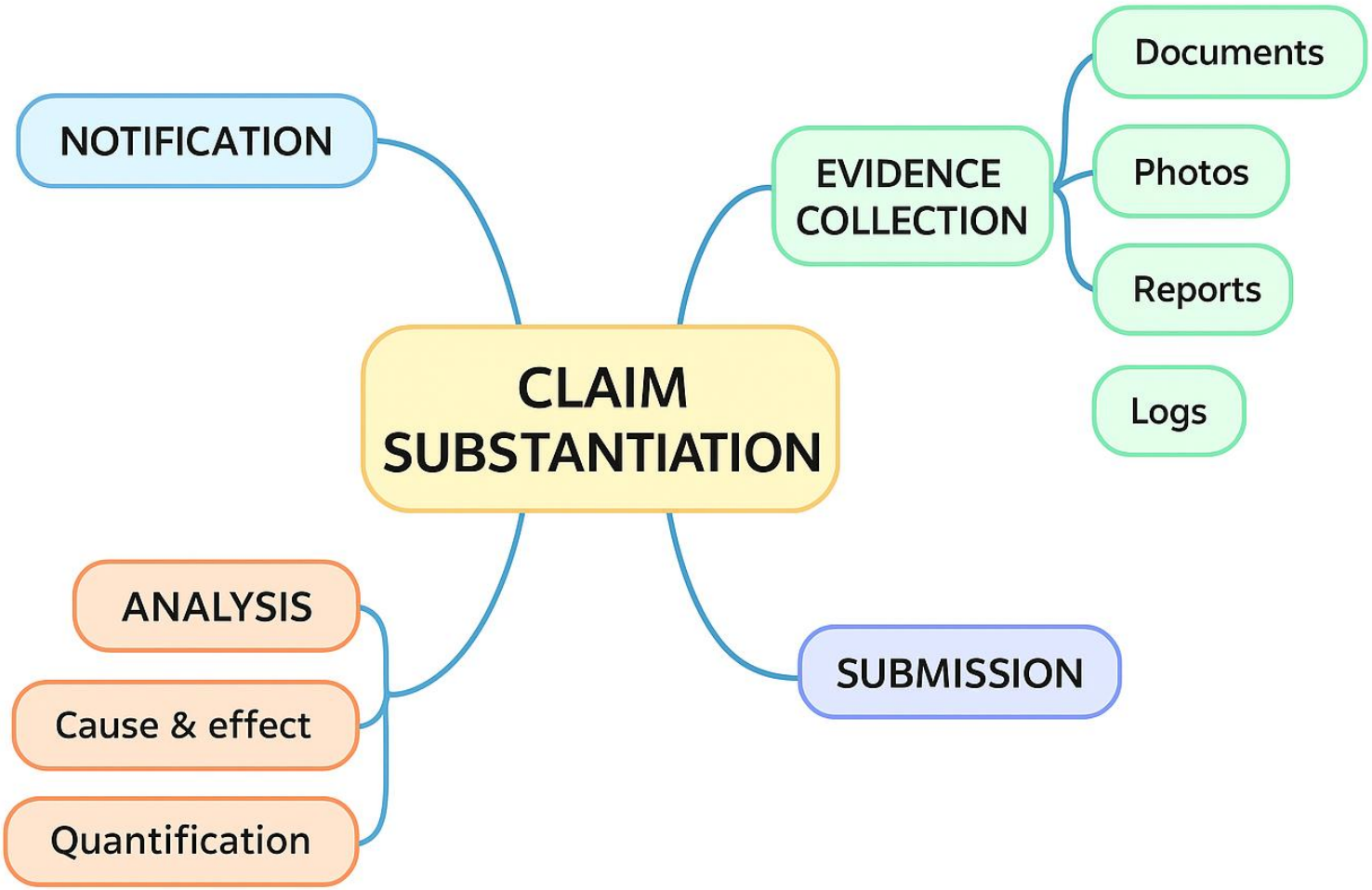
Key Points of Claim Notification:

1. **Purpose** – To notify the employer/engineer about events affecting cost, time, or performance of the contract.
2. **Requirement** – Most standard forms (FIDIC, CPWD, PWD, etc.) mandate a written notice within a specific time (e.g., 7–28 days).
3. **Contents:** Reference to the contract clause, Description of the event (delay, variation, unforeseen conditions, force majeure, etc.), Date and circumstances of occurrence, Possible effect on time and cost, Intention to submit detailed claim later.
4. **Follow-up** – A detailed claim with supporting documents must be submitted within the contract's stipulated time after the initial notification.

CLAIM SUBSTANTIATION

- All claims should be accompanied by detailed supporting calculations.
- Relevant documentation such as correspondence, receipts, and technical drawings must be included to reinforce the claim.
- For claims related to time periods, like costs for extended stays or interest on late payments, it is essential to periodically reconfirm the claim and submit updated evidence to the engineer until the applicable timeframe concludes.

CLAIM SUBSTANTIATION



PREPARATION OF CLAIM DOCUMENT

- **Introduction** – Brief description of project and contract.
- **Background** – Scope, timelines, responsibilities.
- **Description of Claim Event** – Detailed narrative with dates.
- **Contractual Basis** – Clauses justifying entitlement.
- **Cause-Effect Analysis** – Link between event and delay/cost.
- **Supporting Records** – Logs, letters, charts, delay analysis.
- **Quantum of Claim** – Time extension (days) + Cost (₹).
- **Conclusion/Request** – Formal demand for relief/compensation.

INTRODUCTION TO DISPUTE

- A dispute is a disagreement or conflict between two or more parties regarding facts, rights, obligations, or interests. It occurs when one party's claims or expectations are opposed or rejected by another, requiring resolution.
- Key Characteristics
  - Involves two or more parties
  - Arises from conflicting claims or interpretation
  - Can be informal (personal) or formal (legal/business)
  - Often requires intervention/resolution mechanisms

COMMON TYPES OF DISPUTES

- Personal Disputes – interpersonal conflicts
- Commercial Disputes – contracts, payments, services
- Legal Disputes – rights, liabilities, regulatory issues
- Construction Disputes – delays, cost overruns, quality issue
- Political/International Disputes – boundaries, treaties

Causes of Disputes

- Miscommunication or misunderstanding
- Breach of contract or agreement
- Different interpretations of terms
- Delay in performance/delivery
- Financial disagreements
- Lack of clarity in roles/responsibilities

Dispute Resolution Methods

- Negotiation – direct discussion between parties
- Mediation – neutral third-party facilitator
- Arbitration – binding decision by arbitrator
- Litigation – court settlement
- Conciliation – advisory role by conciliator

DISPUTE

RESOLUTION

BORAD

DISPUTE RESOLUTION BORAD

A **Dispute Resolution Board** is a standing body, typically consisting of 1–3 independent professionals (engineers, lawyers, project managers, or industry experts), appointed at the beginning of a project to monitor progress and assist in resolving disagreements before they escalate into formal disputes like arbitration or litigation.

Key Features

- **Established at Project Start** – unlike ad hoc tribunals, it exists throughout the project.
- **Neutral & Independent** – members must be impartial and not connected with either party.
- **Regular Meetings** – visits the project site periodically to understand progress and potential issues.
- **Early Resolution** – aims to solve disputes quickly and cost-effectively.
- **Non-Binding (mostly)** – recommendations are usually advisory, but parties often accept them to maintain good relations and avoid delays.

Necessity of Forming a Dispute Resolution Board (DRB)

- Construction projects involve multiple stakeholders, leading to frequent disputes.
- Disputes cause serious project delays and cost overruns.
- Arbitration and litigation are expensive and time-consuming.
- A DRB provides a neutral and independent panel of experts.
- Issues are identified and resolved at an early stage.
- Quick recommendations save both time and money.
- DRB decisions help maintain cooperation and working relationships.
- Adopted as best practice in international contracts (e.g., FIDIC, World Bank projects).

FORMATION OF DISPUTE RESOLUTION BORAD

- At the start of the project, both the owner and the contractor agree to have a Dispute Resolution Board (DRB).
- The agreement to form the DRB is usually written in the contract.
- A DRB may have one or three members depending on the size of the project.
- Members are chosen from a list of qualified and experienced experts.
- Each party can nominate one member, and the two nominated members together select the third member who acts as the chairperson.
- The members must be independent, neutral, and free from any personal or financial connection with the parties.

FORMATION OF DISPUTE RESOLUTION BORAD

- A formal agreement is signed by both parties and the DRB members covering duties, fees, confidentiality, and rules.
- After appointment, the members study the contract documents and visit the project site to understand the work.
- The DRB stays in touch with the project by attending site meetings at fixed intervals.
- The members help in preventing disputes and, if any dispute arises, they give recommendations after hearing both sides.
- The DRB continues to function till the completion of the project and is dissolved after all disputes are resolved.

FUNCTIONING OF DISPUTE RESOLUTION BORAD

- A Dispute Resolution Board (DRB) is formed at the start of a project.
- It usually consists of 1 to 3 independent experts chosen jointly by both client and contractor.
- Members are neutral and not connected to either party.
- The DRB makes regular visits to the construction site to understand progress and possible issues.
- Small disagreements are identified early before they turn into big disputes.
- If a dispute arises, the issue is formally referred to the DRB.
- Both parties present their claims, evidence, and arguments in front of the DRB.
- The DRB conducts hearings, asks questions, and studies the facts.
- After review, the DRB gives a written recommendation or decision.
- Recommendations may be binding or non-binding depending on the contract.
- Most parties accept the DRB's advice because it comes from respected experts.

ADVANTAGES OF DISPUTE RESOLUTION BORAD

1. Helps in solving disputes quickly and prevents project delays.
2. Saves money by avoiding lengthy legal battles and arbitration.
3. Provides fair and neutral decisions as members are independent experts.
4. Improves cooperation and trust between contractor and owner.
5. Gives practical solutions because members have strong technical knowledge.
6. Keeps the project work going smoothly even during disputes.
7. Encourages both parties to settle issues early without escalation.

DISADVANTAGES OF DISPUTE RESOLUTION BORAD

1. Involves extra cost for fees, travel, and administration of board members.
2. Decisions are sometimes not legally binding, only advisory.
3. May not be suitable for small projects due to high expenses.
4. Depends heavily on the quality and neutrality of board members.
5. Even after DRB decisions, disputes may still go to court or arbitration.
6. Selection of members can cause delays if both parties don't agree.
7. Requires regular time commitment for meetings and site visits.

ORIGINS OF ARBITRATION

- Arbitration's roots can be traced back to the ancient village councils known as panchayats in India.
- The decisions made by these panchayats were revered as divine judgments, regarded as the voice of God, and thus accepted without question.
- Over time, as society evolved and expanded, this sacred system of justice experienced significant transformations to adapt to new social structures.

ARBITRATION & CONCILIATION ACT 1996

- Enacted to provide an alternative mechanism to resolve disputes outside traditional courts.
- Aims to reduce judicial backlog and align Indian law with international arbitration practices (UNCITRAL Model Law).
- Encourage arbitration and conciliation as fair, speedy, and cost-effective dispute resolution methods.
- Ensure minimal court intervention while safeguarding neutrality and justice.
- Applies to both domestic and international commercial arbitration.
- Recognizes party autonomy in choosing rules, procedures, and arbitrators.

STRUCTURE OF THE ACT

The Act is divided into **four parts**:

Part I – Arbitration

- Governs domestic arbitration and international commercial arbitration seated in India.
- Covers:
  - ❖ Arbitration agreement (Section 7)
  - ❖ Composition of arbitral tribunal (Sections 10–15)
  - ❖ Jurisdiction of arbitral tribunals (Sections 16–17)
  - ❖ Conduct of arbitral proceedings (Sections 18–27)
  - ❖ Making and form of arbitral award (Sections 28–33)
  - ❖ Recourse against award: setting aside under Section 34
  - ❖ Finality and enforcement under Section 35–36

STRUCTURE OF THE ACT

Part II – Enforcement of Certain Foreign Awards

- Deals with recognition and enforcement of foreign arbitral awards in India.
- Based on:
  - **New York Convention (1958)**
  - **Geneva Convention (1927)**

Part III – Conciliation

- Provides legal framework for conciliation as an alternative dispute resolution method.
- Parties can settle disputes with the help of a neutral conciliator.
- Settlement agreement has the same status as an arbitral award.

Part IV – Miscellaneous

- Deals with matters like power of High Courts, rule-making power, etc.

KEY AMENDMENTS

The Act has been amended multiple times to modernize and speed up arbitration in India:

- **Amendment Act, 2015**:
  - Time limit of 12 months for arbitral awards (extendable by 6 months).
  - Restricted judicial intervention.
  - Interim measures enforceable as court orders.
- **Amendment Act, 2019**:
  - Establishment of **Arbitration Council of India (ACI)**.
  - Confidentiality of arbitral proceedings.
  - Immunity to arbitrators.
- **Amendment Act, 2021**:
  - Automatic stay on enforcement of awards if the arbitration agreement/contract is induced by fraud or corruption

ARBITRATION AGRREMENT

An **Arbitration Agreement** is a written contract in which two or more parties agree to resolve their disputes through **arbitration** rather than litigation in court. Arbitration is a private dispute resolution process where a neutral arbitrator (or panel) makes a binding decision.

Components of an Arbitration Agreement

- Agreement to Arbitrate – A clear clause stating that the parties agree to resolve disputes through arbitration instead of courts.
- Scope of Disputes – Defines which disputes, claims, or controversies will be subject to arbitration.
- Governing Law – Specifies the law governing the agreement and the arbitration process.
- Arbitration Rules – Indicates whether arbitration will follow institutional rules (e.g., ICC, SIAC) or ad-hoc rules (e.g., UNCITRAL).

ARBITRATION AGRREMENT

Components of an Arbitration Agreement

- **Number and Appointment of Arbitrators** – States whether there will be a sole arbitrator or a panel, and how they will be appointed if parties cannot agree.
- **Seat and Venue of Arbitration** – The **seat** determines the legal jurisdiction and courts with supervisory authority; the **venue** is the physical location of hearings.
- **Language of Proceedings** – Specifies the language in which the arbitration will be conducted.
- **Confidentiality** – Ensures that proceedings, documents, and awards remain private.

ARBITRATION AGRREMENT

Components of an Arbitration Agreement

- **Binding Nature of Award** – Confirms that the arbitral award is final, binding, and enforceable in a court of law.
- **Cost and Expenses** – Details how arbitration costs, including arbitrators' fees and administrative expenses, will be allocated.
- **Signatures of Parties** – The agreement must be signed by all parties to be valid and enforceable.



SIGNIFICANCE OF ARBITRATION AGRREMENT

- Ensures dispute resolution outside courts
- Legally recognized and enforceable
- Provides autonomy to parties in procedure and arbitrator selection
- Maintains confidentiality of proceedings
- Leads to faster resolution of disputes
- Reduces litigation costs
- Supports neutral platform in international trade
- Results in binding and final decisions
- Helps preserve business relationships
- Encourages early settlement of disputes

ARBITRATION PROCESS

- **Arbitration Agreement**
- **Notice of Arbitration**

Once a dispute arises, the claimant sends a **notice of arbitration** to the respondent.

Contents of Notice:

1. Identity of parties
2. Nature of dispute
3. Claims and relief sought
4. Proposed arbitrator(s)
5. Applicable rules and seat of arbitration

Legal Insight:

- ❖ Section 21 of the Arbitration and Conciliation Act, 1996, governs the notice.
- ❖ Respondent must acknowledge within **time specified in agreement** (usually 30 days).

ARBITRATION PROCESS

Appointment of Arbitrator(s)

Types of Arbitrators:

- **Single Arbitrator** – simplest and cheaper.
- **Panel of Arbitrators** – usually 3 (each party appoints one, third chosen by agreement).
- **Institutional Appointment** – arbitrator appointed by an arbitration institution.
- **Court Appointment** – if parties fail to appoint, Section 11 allows courts to step in.
- **Qualities of Arbitrator:**
  - ❖ Impartial
  - ❖ Independent
  - ❖ Expert in the subject matter
  - ❖ Able to conduct proceedings efficiently

ARBITRATION PROCESS

Preliminary Meeting / Procedural Conference

Also called **pre-arbitration conference**, this is a meeting to **organize the process**.

Topics Discussed:

- Timeline for submissions
- Scope of the dispute
- Evidence to be presented
- Mode of hearings (oral or written)
- Possibility of interim measures

Legal Insight:

- Helps **avoid delays** and sets ground rules.
- Arbitrators may issue a **procedural order** binding both parties.

ARBITRATION PROCESS

Submission of Claims and Defenses

This is the **main document phase**.

Step-by-step:

Statement of Claim:

- Filed by claimant
- Contains facts, legal arguments, relief sought, and supporting documents

Statement of Defense:

- Filed by respondent
- Raises counterarguments, objections, or counterclaims

Optional Reply/Rejoinder:

- Allows claimant to respond to defenses or counterclaims

ARBITRATION PROCESS

Hearings

Hearings are similar to court proceedings but **less formal**.

Components:

- **Oral hearings:** Examination and cross-examination of witnesses, expert testimony, presentations.
- **Document-only arbitration:** If parties agree, arbitrator decides based on written submissions.
- **Arbitrator questioning:** Arbitrator may seek clarifications.

Legal Insight:

- Section 19 allows arbitrators to **determine procedure**, as long as fairness is maintained.
- Both parties must have **equal opportunity** (natural justice principle).

ARBITRATION PROCESS

Arbitral Award: The arbitrator delivers a **final decision** called an award.

Types of Award:

Final Award: Concludes the dispute

Interim/Partial Award: Covers part of the dispute while other issues are pending

Requirements:

Must be **in writing** and **signed and m**ust include:

- Name of arbitrator(s)
- Date and place of arbitration
- Reasons for decision
- Relief granted

Legal Insight:

- Section 31 emphasizes the award must **decide claims and counterclaims** within the scope of arbitration.
- Arbitrator cannot exceed the **scope defined by agreement**.

ARBITRATION PROCESS

Enforcement of Award

Once the award is issued, it is **legally binding**.

Domestic Awards:

- Can be enforced like a **civil court decree** (Section 36).
- If party refuses to comply, the other can file an **execution petition**.

Foreign Awards:

- Enforceable under **New York Convention**.
- Must meet requirements under **Section 44** of the Arbitration Act.

ARBITRATION PROCESS

Challenge / Setting Aside the Award

Even binding awards can be challenged under **Section 34**.

Grounds to Set Aside:

- No valid arbitration agreement
- Arbitrator exceeded powers
- Bias or misconduct
- Violation of natural justice (no opportunity to present case)
- Award against public policy

Time Limit: 3 months from receipt of award, extendable by 30 days

SUMMARY TABLE ARBITRATION PROCESS

Step	Key Action	Legal Basis	Practical Tip
1. Arbitration Agreement	Agree to arbitrate	Section 7	Clearly define scope, number of arbitrators, rules
2. Notice of Arbitration	Send claim notice	Section 21	Accurate details prevent delays
3. Appointment of Arbitrators	Select arbitrator(s)	Section 11	Choose impartial experts
4. Preliminary Meeting	Set procedural rules	Section 19	Plan evidence & hearings
5. Claims & Defenses	Submit statements	Section 23	Submit complete documents
6. Hearings	Present evidence, arguments	Section 19	Can be oral or document-only
7. Award	Arbitrator decision	Section 31	Detailed, reasoned, and signed
8. Enforcement	Convert award into decree	Section 36	Court can enforce if needed
9. Challenge	Set aside award	Section 34	Limited grounds; 3-month limit

DUTIES OF ARBITRATOR

- Act impartially and disclose any conflict of interest.
- Follow the procedure agreed upon by the parties.
- Give each party a reasonable opportunity to present its case.
- Conduct proceedings efficiently and avoid unnecessary delay.
- Maintain confidentiality of the proceedings.
- Apply relevant laws, contractual terms, or equitable principles fairly.
- Ensure that the award is enforceable and legally valid.
- Avoid any bias or behavior that could give rise to a reasonable apprehension of partiality.

POWERS OF ARBITRATOR

- Decide the procedure to be followed if not agreed by parties.
- Summon parties, witnesses, and experts as needed.
- Order discovery of documents and evidence.
- Grant interim relief such as injunctions or preservation of property.
- Direct parties to maintain status quo during arbitration.
- Make orders to ensure attendance of parties and witnesses.
- Impose costs or penalties for non-compliance with procedural directions.
- Appoint technical or financial experts to assist in understanding issues.
- Make binding awards on the disputes submitted.
- Decide on interest, costs, and allocation of expenses.
- Correct clerical or typographical mistakes in the award.
- Clarify ambiguous parts of the award if requested by parties.

TYPES OF EVIDENCES REQUIRED IN ARBITRATION

- Documentary evidence, including contracts, agreements, invoices, receipts, and correspondence
- Testimonial evidence from witnesses or experts
- Expert reports or expert opinions on technical, financial, or legal matters
- Physical evidence, such as samples, materials, or equipment relevant to the dispute
- Photographs, videos, or audio recordings supporting claims or defenses
- Electronic evidence, including emails, digital records, and messages
- Admissions or statements made by the parties
- Legal or statutory documents, such as licenses, permits, or government approvals
- Demonstrative evidence, like charts, diagrams, or models to illustrate facts
- Any other relevant material that supports a party's case or rebuts the other party's claims

RULES OF PREPARING EVIDENCES FOR ARBITRATION

- Ensure all evidence is relevant to the issues in dispute.
- Collect and organize evidence systematically, keeping originals and copies separately.
- Authenticate documents and records to prove they are genuine.
- Maintain chronological order where possible to show sequence of events.
- Prepare witness statements clearly, accurately, and concisely.
- Ensure expert reports are objective, detailed, and supported by facts.
- Translate any documents in a foreign language into the arbitration language with certification.
- Avoid including irrelevant, repetitive, or prejudicial material.
- Ensure evidence is admissible under the arbitration rules agreed by the parties.
- Maintain a record of source and custody for each piece of evidence to prevent disputes over authenticity.

THANK YOU